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Suzhou Recodeal Interconnect System | Asia Pacific

Legacy Auto Was a Drag in 2Q26; AI Interconnects Emerged

AlphaSignals Earnings Reaction

Unchanged	In-line	Modest revision lower
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

2Q26 in line: Recodeal's 2Q26 earnings fell 36% YoY and 12% QoQ, to Rmb52mn, in line with reduced market expectations.

Legacy business hampered by Chinese EV weakness: 2Q26 revenue grew 4% YoY, owing to soft Chinese EV volume – a majority of Recodeal's revenue is still from high-voltage connectors for EVs, despite emerging revenue contribution from AIDC interconnects such as active electrical cables (AEC). 2Q26 gross margin fell 2.7ppt YoY and 4.5ppt QoQ, to 19.8%, likely owing to raw material cost hikes.

New business growth from AI interconnects: According to management, its 61%-owned subsidiary Ruichuang started delivering 400G/800G AEC in 2Q26 and has sent a 1.6T AEC prototype to US customer for verification. Management expects CPO and copper to co-exist in AIDC. It views AI infra as a structural growth engine rather than a single product opportunity – Recodeal can offer a broader portfolio spanning high-voltage / high-speed connector, power whip, quick disconnect, etc.

Exhibit 1: Recodeal – 2Q/1H26 results summary

Recodeal (Rmb mn)	1Q25	2Q25	1Q26	2Q26	2Q YoY	2Q QoQ	1H25	1H26	YoY
Revenue	761	763	752	796	4%	6%	1,525	1,548	2%
Gross profit	181	172	183	158	-8%	-14%	352	340	-3%
Operating profit	94	93	97	66	-30%	-33%	187	163	-13%
Net profit	76	81	59	52	-36%	-12%	157	111	-29%
Recurring net profit	73	75	56	50	-33%	-11%	148	106	-28%
EPS (Rmb)	0.26	0.28	0.21	0.18	-36%	-12%	0.55	0.39	-29%
Gross margin	23.7%	22.5%	24.3%	19.8%	-2.7%	-4.5%	23.1%	22.0%	-1.1%
Operating margin	12.3%	12.2%	13.0%	8.2%	-4.0%	-4.7%	12.3%	10.5%	-1.7%
Net margin	9.9%	10.7%	7.8%	6.5%	-4.1%	-1.3%	10.3%	7.2%	-3.1%

Source: Company data, Morgan Stanley Research

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Suzhou Recodeal Interconnect System (688800.SS, 688800.CH)

China Autos & Shared Mobility China	
Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb121.00
Up/downside to price target (%)	88
Shr price, close (Aug 24, 2026)	Rmb64.20
52-Week Range	Rmb105.71-45.93
Sh out, dil, curr (mn)	287
Mkt cap, curr (mn)	Rmb18,404.7
EV, curr (mn)	Rmb17,663.3
Avg daily trading value (mn)	Rmb947

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.04	1.59	2.50	3.33
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)\$	1.46	1.59	2.32	3.33
Revenue, net (Rmb mn)	3,151	5,049	7,655	9,674
EBITDA (Rmb mn)	472	749	1,182	1,579
ModelWare net inc (Rmb mn)	299	455	717	956
P/E	56.8	40.5	25.7	19.3
P/BV	6.9	6.5	5.4	4.4
RNOA (%)	17.2	25.0	37.9	46.8
ROE (%)	14.3	18.4	25.2	28.0
EV/EBITDA	34.4	23.4	14.6	10.5
Div yld (%)	0.4	0.5	0.8	1.1
FCF yld ratio (%)**	(0.5)	1.5	3.5	5.8
Leverage (EOP) (%)	(48.5)	(48.3)	(54.3)	(64.9)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
\$ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Suzhou Recodeal Interconnect System (688800.SS)

Base case, derived from DCF valuation. We aim to capture Recodeal's growth potential in the long run, given the company's exposure to 800V charging and energy storage. Our key assumptions include a 12% WACC (14.5% cost of equity and 6% cost of debt) and a 3% terminal growth rate.

Risks to Upside

- New project wins from NIO, Tesla, battery swap heavy-duty trucks, and other 800V EVs
- Higher value content per vehicle and wallet share gain in NIO and Tesla
- New project wins in humanoid robot, robotaxis, and eVTOL

Risks to Downside

- Weaker-than-expected NIO deliveries
- Low utilization at its Mexican plants
- Rising copper prices

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Suzhou Recodeal Interconnect System (688800.SS) - As of 08/24/26 GMT in CNY
Industry : China Autos & Shared Mobility



Stock Rating History: 8/1/23 : E/I; 9/27/24 : U/I; 7/2/26 : O/I

Price Target History: 8/1/23 : 29.12; 1/8/24 : 23.08; 3/6/24 : 17.58; 4/18/24 : 15.38; 9/27/24 : 8.79; 2/13/25 : 20.33; 4/29/25 : 21.43; 11/12/25 : 42.14; 7/2/26 : 121

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/24/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb20.12
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.75
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.54
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.05
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.12
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.11
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.48
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb11.03
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb18.96
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.19
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$2.82
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb30.36
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb62.70
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb25.75
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb83.68
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.38
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$0.86
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb28.23
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb56.49
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$55.60
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb86.59
Keboda (603786.SS)	O (01/17/2024)	Rmb39.44
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$27.50
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.28
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$5.10
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb19.09

Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb46.30
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.08
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb64.20
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$11.45
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb35.71
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.46
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.96
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb90.66
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$92.80
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.51
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.47
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.21
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.40
Hesai Group (HSAI.O)	O (07/28/2025)	US\$19.10
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.75
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$13.05
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$49.46
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$35.36
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.63
WeRide Inc (WRD.O)	O (11/19/2024)	US\$6.45
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$47.68
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$12.19

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* Historical prices are not split adjusted.